

Flags, pennants. Flags and pennants share the same type of pattern as a measured move down. The first leg is a very fast decline, forming the flagpole. In a measured move, the drop isn't as fast or as steep in the first leg. It usually lasts much longer, too (but this varies).

A flag looks like a rectangle (with two nearly parallel trendlines) usually tilted against the prevailing price trend, and a pennant has two trendlines that converge. A measured move down has a looser-looking price movement in the corrective phase. The phase often lasts longer than a flag or pennant.

After the retrace in a downtrend (that is, after the corrective phase ends), flags, pennants, and measured moves see price drop again (when they act as they should). Again the move in a flag or pennant is steep and fast in the second leg with price tumbling down in an attempt to reach zero, now! In a measured move down, it's a straight-line run down, but often at a more leisurely pace.

Visit the chapters on flags and pennants and look at the accompanying figures so you can get a better sense for what separates the measured move down from other chart patterns.

[Figure 46.2](#) shows two examples of the measured move down. The first one, marked by points A, B, C, and D, begins after a long price rise. The stock moves up to peak at 59.63 in early July (A). Price declines following a down trendline but stays within a channel until mid-August, when it reaches a low of 51.50 (B).

The corrective phase begins (BC) on volume that is high but not unusually so. Price moves up and retraces 68% of the decline before tumbling again.

In the second leg (CD), price drops below the low set by the first leg (point B) and continues lower to point D. At turn D, the pattern ends.

The second leg is steeper than the first leg and covers the ground in about half the time (36 days versus 19 days). In addition, the second leg is slightly shorter than the first one (the first leg declines by 8.13 or 14%, whereas the second one falls 7.25 or 13%).

Another measured move occurs in mid-November and ends at about the same level as the first one in late January (see points E, F, G, and H). If you look closely at the figure, you can see another measured move that forms in